

THE CO-OPERATIVE BANK OF KENYA LIMITED AND SUBSIDIARIES
Audited Financial Statements for the Year Ended 31 December 2011



STATEMENT OF FINANCIAL POSITION				
ASSETS	GROUP		BANK	
	2011 KShs'000	2010 KShs'000	2011 KShs'000	2010 KShs'000
Cash and balances with Central Bank of Kenya	14,151,049	14,033,477	14,151,043	14,033,477
Deposits and balances due from banks	7,464,735	6,741,854	7,437,716	6,671,257
Held-for-trading investments	165,067	4,062,391	164,192	3,971,005
Held-to-maturity investments	193,447	9,954,855	3,850	9,954,855
Available-for-sale investments	21,878,907	20,374,111	21,878,102	20,372,355
Loans and advances to customers	109,408,815	86,618,311	109,408,815	86,618,311
Investment in subsidiaries	-	-	280,000	280,000
Investment in associate	1,028,159	256,441	755,118	121,090
Other assets	3,840,431	5,315,727	3,777,929	5,241,975
Intangible assets	613,042	586,939	359,197	333,422
Prepaid lease rentals	39,478	40,091	39,478	40,091
Property and equipment	8,683,473	6,355,794	8,672,350	6,345,695
Deferred tax asset	845,036	-	844,600	-
TOTAL ASSETS	168,311,639	154,339,991	167,772,390	153,983,533
LIABILITIES	GROUP		BANK	
	2011 KShs'000	2010 KShs'000	2011 KShs'000	2010 KShs'000
Deposits and balances due to banks	1,881,284	5,348,291	1,881,284	5,348,291
Customer deposits	142,632,308	123,878,422	142,704,593	124,012,039
Loans	227,563	138,556	227,563	138,556
Tax payable	63,702	175,582	65,054	171,120
Provisions	48,156	56,126	48,156	56,126
Other liabilities	1,911,964	4,012,728	1,874,121	3,922,008
Capital grants	595,164	615,611	595,164	615,611
Deferred tax liability	-	134,177	-	132,940
TOTAL LIABILITIES	147,360,141	134,359,493	147,395,935	134,396,691
EQUITY ATTRIBUTABLE TO EQUITY HOLDERS OF PARENT				
Share capital	3,492,370	3,492,370	3,492,370	3,492,370
Share premium	4,286,736	4,286,736	4,286,736	4,286,736
Reserves	11,651,310	10,685,700	11,200,401	10,410,788
Proposed dividends	1,396,948	1,396,948	1,396,948	1,396,948
	20,827,364	19,861,754	20,376,455	19,586,842
Non-controlling interest	124,134	118,744	-	-
TOTAL EQUITY	20,951,498	19,980,498	20,376,455	19,586,842
TOTAL LIABILITIES & EQUITY	168,311,639	154,339,991	167,772,390	153,983,533

CONSOLIDATED INCOME STATEMENT

	GROUP		BANK	
	2011 KShs'000	2010 KShs'000	2011 KShs'000	2010 KShs'000
Interest income	16,875,486	12,140,640	16,858,803	12,130,088
Interest expense	(4,505,915)	(2,638,132)	(4,505,915)	(2,638,132)
NET INTEREST INCOME	12,369,571	9,502,508	12,352,888	9,491,956
Fees and Commission income	5,569,407	4,384,518	5,307,982	4,179,940
Foreign exchange gain	1,013,213	621,201	1,013,213	621,201
(Loss) / Gain on sale of financial instruments	(651,085)	594,651	(657,104)	596,606
Changes in fair value of financial instruments held for trading	(24,853)	197,406	(24,853)	153,193
Amortisation of financial instruments	(136,135)	-	(136,889)	-
Amortisation of capital grants	20,447	20,447	20,447	20,447
Other income	175,286	351,183	195,140	340,205
OPERATING INCOME	18,335,851	15,671,914	18,070,824	15,403,548
Operating expenses:-				
Net impairment losses on loans and advances	709,903	798,666	709,903	798,666
Other operating expenses	11,417,329	9,230,607	11,193,153	9,045,854
OPERATING EXPENSES	12,127,232	10,029,273	11,903,056	9,844,520
OPERATING PROFIT	6,208,619	5,642,641	6,167,768	5,559,028
Share of profit of an associate	153,943	129,977	-	-
PROFIT BEFORE TAX	6,362,562	5,772,618	6,167,768	5,559,028
INCOME TAX EXPENSE	(999,960)	(1,191,920)	(981,425)	(1,179,798)
PROFIT FOR THE YEAR	5,362,602	4,580,698	5,186,343	4,379,230
Attributable to:-				
Equity holders of the parent entity	5,357,212	4,568,580	5,186,343	4,379,230
Non-controlling interest	5,390	12,118	-	-
	5,362,602	4,580,698	5,186,343	4,379,230
Basic earnings per share (KShs)	1.53	1.31	1.49	1.25
Diluted earnings per share (KShs)	1.28	1.09	1.24	1.04

STATEMENT OF CHANGES IN EQUITY

GROUP	Share Capital KShs'000	Share Premium KShs'000	Revaluation Reserves KShs'000	Statutory Reserves KShs'000	Fair Value Reserve KShs'000	Proposed Dividends KShs'000	Retained Earnings KShs'000	Total Attributable to equity holder of the company KShs'000	Non-controlling interest KShs'000	Total equity KShs'000
Balance at 1 January 2011	3,492,370	4,286,736	346,782	204,954	282,369	1,396,948	9,851,595	19,861,754	118,744	19,980,498
Total comprehensive income										
Profit for the year	-	-	-	-	-	-	5,357,212	5,357,212	5,390	5,362,602
Other comprehensive income	-	-	-	-	(3,071,538)	-	-	(3,071,538)	-	(3,071,538)
Reversal through income statement	-	-	-	-	(276,994)	-	-	(276,994)	-	(276,994)
Realisation of revaluation surplus	-	-	(9,071)	-	-	-	9,071	-	-	-
Deferred tax on realisation of revaluation surplus	-	-	1,814	-	-	-	-	1,814	-	1,814
Net movement in revenue grants for the year	-	-	-	-	-	-	352,064	352,064	-	352,064
Transfers to revenue reserve	-	-	-	1,024	-	-	(1,024)	-	-	-
2010-Dividends paid	-	-	-	-	-	(1,396,948)	-	(1,396,948)	-	(1,396,948)
Proposed dividends	-	-	-	-	-	1,396,948	(1,396,948)	-	-	-
Balance at 31 December 2011	3,492,370	4,286,736	339,525	205,978	(3,066,163)	1,396,948	14,171,970	20,827,364	124,134	20,951,498
BANK	Share Capital KShs'000	Share Premium KShs'000	Revaluation Reserves KShs'000	Statutory Reserves KShs'000	Fair Value Reserve KShs'000	Proposed Dividends KShs'000	Retained Earnings KShs'000	Total Attributable to equity holder of the company KShs'000	Non-controlling interest KShs'000	Total equity KShs'000
Balance at 1 January 2011	3,492,370	4,286,736	346,782	204,954	278,537	1,396,948	9,580,514	19,586,841	-	19,586,841
Total comprehensive income										
Profit for the year	-	-	-	-	-	-	5,186,343	5,186,343	-	5,186,343
Other comprehensive income	-	-	-	-	(3,075,123)	-	-	(3,075,123)	-	(3,075,123)
Reversal through income statement	-	-	-	-	(278,537)	-	-	(278,537)	-	(278,537)
Realisation of revaluation surplus	-	-	(9,071)	-	-	-	9,071	-	-	-
Deferred tax on realisation of revaluation surplus	-	-	1,814	-	-	-	-	1,814	-	1,814
Net movement in revenue grants for the year	-	-	-	-	-	-	352,064	352,064	-	352,064
Transfer to retained earnings	-	-	-	1,024	-	-	(1,024)	-	-	-
2010-Dividends paid	-	-	-	-	-	(1,396,948)	-	(1,396,948)	-	(1,396,948)
Proposed dividends	-	-	-	-	-	1,396,948	(1,396,948)	-	-	-
Balance at 31 December 2011	3,492,370	4,286,736	339,525	205,978	(3,075,123)	1,396,948	13,730,021	20,376,455	-	20,376,455

PROPOSED DIVIDEND AND BONUS SHARE ISSUE

The directors recommend payment of a dividend of KShs. 0.40 (2010 - KShs 0.40) for every ordinary share of KShs 1 held. The dividends will be paid on or about 22nd June 2012 to the shareholders registered on the Bank's Register at the close of business on 28th May 2012. The register will remain closed for one day on 29th May 2012 for the preparation of dividend warrants.

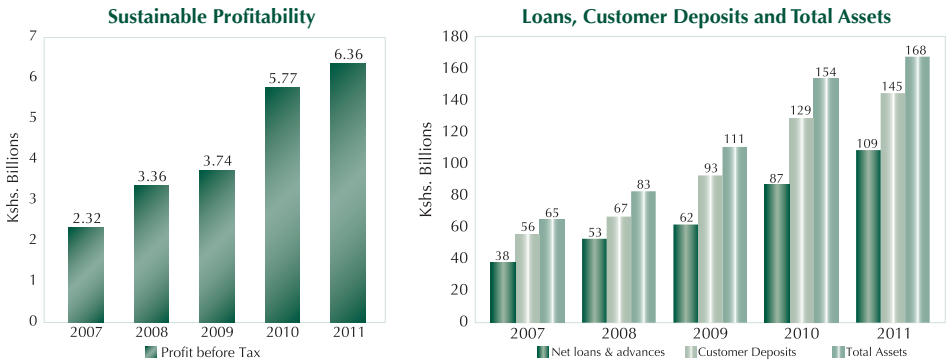
The directors have also approved and recommended a bonus share issue of one (1) share for every five (5) ordinary shares held. The bonus issue subject to Capital Markets Authority approval will be credited to the shareholders on the register as at close of business on 15th June 2012.

STATEMENT OF COMPREHENSIVE INCOME

OTHER COMPREHENSIVE INCOME, NET OF TAX	GROUP		BANK	
	2011 KShs'000	2010 KShs'000	2011 KShs'000	2010 KShs'000
PROFIT FOR THE YEAR	5,362,602	4,580,698	5,186,343	4,379,230
Change in fair value of available-for-sale investments	(3,075,139)	278,607	(3,075,123)	278,537
Other comprehensive income of an associate	3,601	3,762	-	-
OTHER COMPREHENSIVE INCOME, NET OF TAX	(3,071,538)	282,369	(3,075,123)	278,537
TOTAL COMPREHENSIVE INCOME FOR THE YEAR NET OF INCOME TAX	2,291,064	4,863,067	2,111,220	4,657,767
Attributable to:-				
Equity holders of the parent entity	2,285,674	4,850,949	2,111,220	4,657,767
Non-controlling interest	5,390	12,118	-	-
	2,291,064	4,863,067	2,111,220	4,657,767

STATEMENT OF CASH FLOWS

CASH FLOWS FROM OPERATING ACTIVITIES:-	GROUP		BANK	
	2011	2010	2011	2010
Profit before tax	6,362,562	5,772,618	6,167,768	5,559,028
Adjustments for:-				
Depreciation	1,120,188	853,354	1,116,023	849,647
Amortisation of prepaid lease rentals	613	613	613	613
Net impairment on property, equipment and intangible assets	2,769	16,713	2,769	16,713
Net movement in revenue grants	352,064	156,719	352,064	156,719
Movement in provisions	345,737	345	345,737	345
Amortization of intangible assets	118,485	96,917	116,710	95,623
Amortization of capital grants	(20,447)	(20,447)	(20,447)	(20,447)
Gain on disposal of property and equipment	(3,573)	(4,173)	(95,864)	-
Net foreign exchange differences	(95,864)	-	(3,573)	(4,173)
Changes in fair value of financial instruments held-for-trading	24,853	(197,406)	24,853	(153,193)
Share of profit in associate	(153,943)	(129,977)	136,889	-
Amortisation of financial instruments held-to-maturity	136,135	-	-	-
Cash flows from operating activities before working capital changes	8,189,579	6,545,276	8,143,542	6,500,875
Advances to customers	(23,136,241)	(24,344,462)	(23,136,241)	(24,344,235)
Other assets	1,665,889	(2,891,264)	1,654,639	(2,840,498)
Deposits from customers	18,753,886	32,359,689	18,692,554	32,459,531
Deposits from banks	(3,467,007)	4,338,075	(3,467,007)	4,338,075
Other liabilities	(2,117,086)	2,530,974	(2,063,096)	2,433,065
Central Bank of Kenya cash reserve ratio	(2,159,046)	(1,432,502)	(2,159,046)	(1,432,502)
Held-for-trading investments	3,871,371	245,899	3,780,860	200,731
Available-for-sale investments	(5,763,669)	(8,451,076)	(5,765,057)	(8,449,431)
Equity investments held-for-trading	1,100	1,100	1,100	1,100
Cash (used in) / generated by operating activities	(4,161,224)	8,901,709	(4,317,752)	8,866,711
Tax paid	(1,310,283)	(980,723)	(1,287,217)	(979,446)
Net cash flows (used in) /from operating activities	(5,471,507)	7,920,986	(5,604,969)	7,887,265
CASH FLOWS FROM INVESTING ACTIVITIES:-				
Purchase of property and equipment	(3,482,813)	(1,602,903)	(3,477,625)	(1,588,670)
Purchase of software	(118,426)	(142,591)	(116,323)	(142,591)
Proceeds from disposal of property and equipment	9,589	32,625	9,589	6,663
Purchase of held-to-maturity investments	(193,447)	9,954,855	(3,850)	(9,954,855)
Maturity of held-to-maturity investments	9,954,855	9,238,779	9,954,855	9,238,779
Purchase of additional shares in associate	(634,028)	(100,000)	-	(30,000)
Dividends from associate	19,854	-	(634,028)	(100,000)
Net cash flows generated from / (used in) investing activities:-	5,555,584	(2,528,945)	5,732,618	(2,570,674)
CASH FLOWS FROM FINANCING ACTIVITIES:-				
Loan received	122,000	-	122,000	-
Dividends paid	(1,396,948)	(698,474)	(1,396,948)	(698,474)
Loans paid	(32,993)	(70,271)	(32,993)	(65,418)
Net cash flows used in financing activities	(1,307,941)	(768,745)	(1,307,941)	(763,892)
Net movement in cash and cash equivalents	(1,123,864)	4,623,296	(1,180,292)	4,552,699
Cash and cash equivalents at the beginning of the year	15,863,967	11,240,671	15,793,370	11,240,671
Net foreign exchange differences	95,864	-	95,864	-
Cash and cash equivalents at 31 December	14,735,967	15,863,967	14,708,942	15,793,370



MESSAGE FROM THE DIRECTORS

The above Balance Sheet and Profit & Loss account are extracts from the Bank's financial statements which have been audited by Ernst & Young and received an unqualified opinion. A full set of these financial statements will be available for inspection on our website www.co-opbank.co.ke and at our registered office at Co-operative House after approval by members at the Annual General Meeting.

The financial statements were approved by the Board of Directors on 7th March 2012 and signed on its behalf by: -

S.C. Muchiri, EBS - Group Chairman J. Riungu - Vice Chairman
Dr. G. Muriuki, MBS - Group Managing Director & CEO R. M. Githaiga (Mrs.) - Company Secretary